Final Technical Report

Boréal Marché Customer Intelligence Platform · Capstone Project 1 · D6 (consolidates D2–D5)
Olga Morgunova (individual project) · 420-977-VA AI Development Project · Instructor: Steve Ataky, Ph.D. · Vanier College, LEA.EU · Repository tag `v0.9.6` · KLO 6, 7

1. Overview

Boréal Marché, a (fictional) Québec online grocer, asked three questions: *which active customers are about to stop ordering, and is the quarterly coupon worth sending them?* (Head A, retention); *what else belongs in this basket?* (Head B, recommendations); and *can the forty repetitive customer-service questions be answered, in French or English, without inventing anything?* (Head C, assistant). This report describes the one system that answers all three as it runs today, how each design decision was made and tested, and what is still weak. It replaces D2–D5 as the reference document: where a later deliverable changed an earlier result, only the current result is reported here and the change is listed in §11.

The system is live. Interface: https://boreal-marche-capstone-4ay3m2fn6qdo4jtgy72vpr.streamlit.app · API documentation: https://padp32qm6p.us-east-1.awsapprunner.com/docs · deployed commit `422bbab`, API 0.9.5, model `0.9.5+xgboost` (checked 2026-11-01, `/ready` = 200). Demonstration video: https://youtu.be/C_Qv7lu3cpY. Recorded D6 presentation (15 minutes, demonstration first): https://youtu.be/2bcNpRwMQxE.

Question	Result (held-out, temporal)	Baseline	§
Head A — who will order again within 90 days	PR-AUC **0.8472** [0.8317, 0.8626], ECE 0.041, 19 features	0.7123 recency deciles · dummy 0.607	5
Head A — is the coupon worth it	test quarter: **$54,137** better than coupon-to-everyone (−$1,039 vs −$55,176)	today's blanket coupon	5.5
Head B — basket recommendations	hit-rate@5 **0.145**, 91.7% of baskets served by a rule	0.017 best-sellers (8.6×)	6
Head C — assistant	tool choice 97.5% golden / 95% paraphrases (local LLM), out-of-scope refused 100%	rule baseline 100% / **35%**	7
Platform	`/predict` warm p50 4.8 ms (live 41.8 ms incl. network); image 823 MB; 89 tests, coverage 82%	D3 image 1,437 MB	8–9
Cost	**$3.05** total AWS spend (2026-09-01 to 2026-11-01)	course target < $25	9.3
Fairness	lapser recall 46% in the top spend quartile vs 89% overall — **flagged, not fixed**	—	10.1

Table 1 — Results. Every number in this report is generated from `reports/metrics/*.json` by `python -m boreal_marche.reporting.build D6`; none is typed by hand.

2. Problem, data and scope

Business problem. Today the client sends a 15% coupon to every customer every quarter. On the test quarter that policy loses **−$55,176** under the stated cost assumptions, mostly by discounting loyal customers who would have ordered anyway. The cross-sell strip is hand-picked, and two employees answer the same questions by e-mail. Success was defined in D1 as: beat the business rule on PR-AUC and express the gain in dollars; recommendations at least 2.5× better than best-sellers; an assistant that never invents a product or a probability and refuses what it cannot ground; and a governed, monitored, reproducible deployment under $25.

Data. UCI Online Retail II (Chen, 2012, DOI 10.24432/C5CG6D, CC BY 4.0): 1,067,371 invoice lines, 2009-12-01 to 2011-12-09, real UK giftware transactions **re-skinned** as Boréal Marché (regions and categories mapped, currency shown as $). It is public, pseudonymised data, not client data, and the conclusions about grocery behaviour are bounded by that (§12). The raw file is DVC-tracked and verified by SHA-256 (`bcbe73b35f5b…`); it is never committed.

3. Architecture

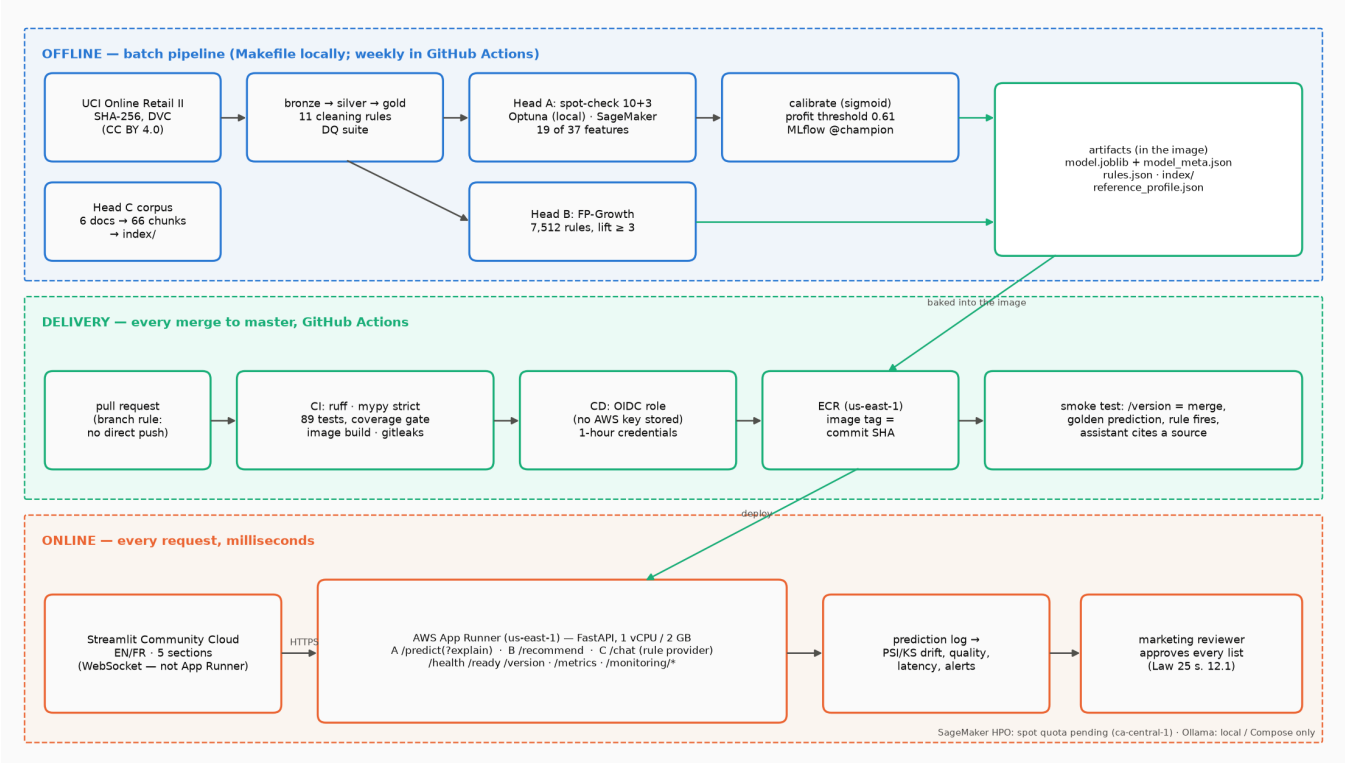


Figure 1 — The system as built and deployed. Only artifacts cross from the offline pipeline into the online service; the algorithms never run on a request.

Walkthrough. `make data` downloads and checksums the workbook into **bronze** Parquet; `make etl` applies eleven ordered cleaning rules into **silver**; `make features` builds **gold**, one row per (customer, cut-off) with 37 point-in-time features (the model uses 19, §5.4) and the 90-day label. Head A is selected, tuned, calibrated and thresholded offline and registered in MLflow as `champion`; Head B mines rules weekly; Head C embeds a 6-document policy corpus into 66 chunks. Every artifact is baked into one API image, so a deployed version is one image digest. A pull request runs CI; a merge runs CD, which authenticates to AWS with a short-lived OIDC token, pushes the image tagged with the commit SHA to ECR, deploys it to App Runner and smoke-tests the live service. The interface (Streamlit Community Cloud) holds no data and calls the API over HTTPS. Every prediction is logged, and the monitoring endpoints compute drift, data quality and latency from that log.

Why this shape. Everything expensive — cleaning, mining (241.4 s), tuning — is offline; everything on the request path is a lookup in a loaded artifact, which is why `/predict` takes milliseconds (§9.1). Preprocessing lives inside the model artifact so training and serving cannot drift apart. Rules and the vector index are files with provenance headers, so the API can say which rule fired and which document it cited.

4. Data pipeline and leakage control

Rule	Rows before	Rows after	Removed	Flagged	Why the rule exists
R0 normalise codes	1,067,371	1,067,371	0	0	Stock codes/invoices contain trailing spaces and mixed case ('47503J ', 'm'); without normalisation the same SKU is counted twice.
R1 drop sheet overlap	1,067,371	1,044,848	22,523	0	Both yearly sheets contain 2010-12-01..2010-12-09. Naive concatenation double-counts those orders, inflating frequency and monetary features.

Rule	Rows before	Rows after	Removed	Flagged	Why the rule exists
R2 drop exact duplicate lines	1,044,848	1,033,034	11,814	0	Identical lines (same invoice, SKU, quantity, timestamp, price, customer) are system double-scans; they inflate quantities and basket co-occurrence. Description is not part of the key (spelling variants of one SKU).
R3 separate cancellations	1,033,034	1,013,930	19,104	0	Invoices prefixed 'C' are reversals, not purchases. Kept in a separate table used only as a point-in-time feature; never netted (netting leaks future events).
R4 drop bad-debt adjustments	1,013,930	1,013,924	6	0	Invoices prefixed 'A' are accounting adjustments ('Adjust bad debt').
R5 drop non-positive quantity	1,013,924	1,010,531	3,393	0	Non-cancellation lines with quantity <= 0 are stock write-offs/damages ('lost', 'damaged', '?') with no customer.
R6 drop non-positive price	1,010,531	1,007,910	2,621	0	Price <= 0 lines are free samples or manual corrections; they are not sales and would distort monetary features.
R7 drop service / fee SKUs	1,007,910	1,003,338	4,572	0	Postage, carriage, manual, bank/Amazon fees, test and gift-voucher codes are not products: they would dominate baskets ('recommend postage') and skew category mix.
R8 canonicalise descriptions	1,003,338	1,003,338	0	58,116	The same SKU appears under several spellings; one canonical label per stock code keeps the rule engine and catalogue consistent.
R9 flag + cap outliers	1,003,338	1,003,338	0	1,642	Lines above the 99.9% quantile of quantity (520) or line revenue (734.40) — e.g. the 80,995-unit error — are flagged and revenue is capped for features instead of dropped (they are real orders but not representative). Caps are estimated on pre-validation data only.
R10 null customer id (Head A view)	1,003,338	776,577	226,761	226,761	Guest checkouts cannot be attributed to a customer, so they are excluded from the retention table (Head A) but kept for basket mining (Head B) where the invoice is the unit.

Table 2 — Cleaning rules in execution order (`reports/cleaning_report.md`).

Bronze → silver keeps 1,003,338 of 1,067,371 lines (6.0% removed). The largest single correction is **R1, the 22,523-line overlap between the two yearly sheets**: the course's starter script concatenated them and would have double-counted every order of 1–9 December 2010. The key design decision is **R3: cancellations are separated, not netted** — netting deletes a purchase made before a cut-off because of a cancellation after it, i.e. future information in past features. A data-quality suite guards silver and gold in CI; it caught a bug of mine in R2 (the duplicate key included the description, so two spellings of one product survived) which is now covered by a unit test.

Windows. For a cut-off T, features see only orders before T (observation window 180 days, plus lifetime history); the label is "at least one order in [T, T + 90 d)". Ninety days matches the client's quarterly campaign and the ~two-month median gap between orders.

Split	Cutoff T	Eligible customers	Returned within 90 d
train	2010-06-01	2,652	50.0%
train	2010-09-01	2,822	62.0%
train	2010-12-01	3,465	38.0%
train	2011-03-01	3,338	42.4%
validation	2011-06-01	2,658	50.0%
test	2011-09-01	2,768	60.7%

Table 3 — Snapshots. Train 2010-06-01, 2010-09-01, 2010-12-01, 2011-03-01; validation 2011-06-01 (calibration and threshold); test 2011-09-01. Label windows never overlap. The base rate moves with the season, which is why calibration uses its own snapshot.

Leakage was tested on purpose (validation snapshot, untuned model): computing features through T + 90 days lifts PR-AUC from 0.8070 to **1.0000** — a perfect score, because recency below 90 days *is* the label. Row-level versus

customer-grouped folds differ by only 0.7774 vs 0.7760; grouping is kept as the safe default. Unit tests assert that adding orders after T changes no feature, and `check_gold` rejects any feature row that saw the future. Appendix B of the course warns that 0.95 means leakage; the 1.000 above is that warning, reproduced and fenced off.

5. Head A — retention

5.1 Evaluation design and model selection

The primary metric is **PR-AUC** of the "returns" class: accuracy is meaningless under a base rate that moves with the season (Table 3), and ROC-AUC is insensitive to the top of the ranking where money is spent. Brier and ECE measure the probability, because it is multiplied by dollars. Three baselines are scored identically: a dummy prior, the client's rule "ordered in the last 60 days", and a recency-decile heuristic. Ten model families were compared on **identical** preprocessing and 5 customer-grouped folds (selection was done with all 37 features, before the §5.4 audit):

Model	PR-AUC (mean ± sd)	ROC-AUC	Brier	Recall@top10%	Fit s
Extra trees	0.7772 ± 0.0116	0.779	0.190	0.197	0.48
XGBoost	0.7760 ± 0.0129	0.778	0.190	0.195	0.55
Logistic regression	0.7754 ± 0.0111	0.780	0.189	0.195	0.10
Random forest	0.7745 ± 0.0149	0.774	0.191	0.195	1.00
MLP (64-32)	0.7731 ± 0.0137	0.775	0.191	0.195	0.50
HistGradientBoosting	0.7701 ± 0.0124	0.771	0.193	0.193	0.31
LightGBM	0.7695 ± 0.0131	0.771	0.194	0.194	0.37
k-NN (k=50)	0.7581 ± 0.0136	0.754	0.198	0.194	0.05
Gaussian naive Bayes	0.7438 ± 0.0151	0.745	0.287	0.191	0.06
Decision tree	0.7388 ± 0.0157	0.755	0.200	0.189	0.16
Heuristic: recency deciles	0.5823 ± 0.0181	0.641	0.235	0.140	0.00
Baseline: rule 'ordered in last 60 days'	0.5383 ± 0.0181	0.608	0.238	0.139	0.00
Baseline: Dummy (prior)	0.4731 ± 0.0072	0.500	0.249	0.123	0.00

Table 4 — Spot-check (12,277 training rows, cross-validation).

Every learned model beats every baseline by at least 0.16 PR-AUC, and the top is flat: 7 families lie within one standard deviation (0.0116) of the best, logistic regression included. Model choice matters less than features and decision design. Extra trees and XGBoost were tuned with Optuna (TPE, median pruning, 40 trials each): the gain was **+0.0048** for XGBoost and +0.0007 for extra trees — less than one fold standard deviation. I report this as a finding, not a failure: the problem is limited by the information in the features, not by hyper-parameters. XGBoost won on validation (0.8047 vs 0.7994).

5.2 Calibration

Method (5-fold out-of-fold on validation)	Brier	Log-loss	ECE
none	0.1890	0.5558	0.036
sigmoid	0.1879	0.5522	0.012
isotonic	0.1889	0.5581	0.017

Table 5 — 5-fold out-of-fold calibration on the validation snapshot.

Sigmoid (Platt) scaling was chosen: lowest Brier, ECE 0.036 → **0.012**, monotone and smooth at the threshold (isotonic produces ties with ~2.7k rows). On the test quarter ECE is 0.041, so calibration survives the seasonal shift.

5.3 From a probability to a decision — the hard decision

A probability is not a decision. The coupon goes to customers whose calibrated P(return) is **at or below** a threshold. Per contacted customer the expected profit is `save_rate × (value − discount) − coupon` for a lapser and `−(coupon + discount)` for a customer who would have returned anyway, with $4.00 handling, a 15% discount, a stated save rate of 20% and a 365-day value horizon at 30% margin (`params.yaml → business`).

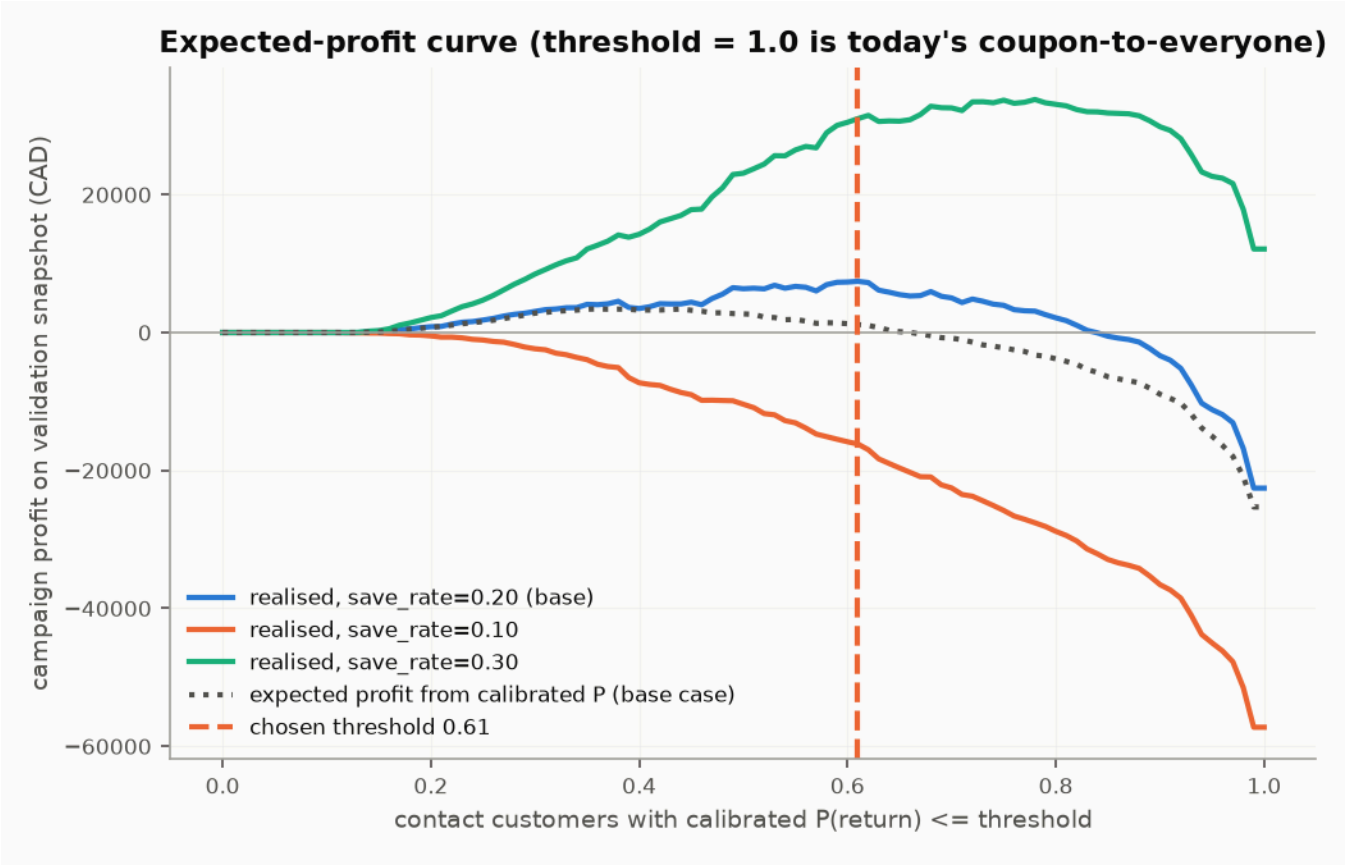


Figure 2 — Validation campaign profit by threshold for three save rates; threshold 1.0 is today's coupon-to-everyone.

The profit-maximising threshold on validation is **0.61**: it contacts 1,811 of 2,658 customers, reaches 1,178 of 1,330 lapsers and earns $7,421, against −$22,565 for coupon-to-everyone. The model's first value is **not sending** 32% of coupons.

Assumption	Profit-maximising threshold	Max validation profit
save rate = 0.10	0.00	$0
save rate = 0.20	0.61	$7,421
save rate = 0.30	0.78	$33,797
save rate 0.20, value horizon 90 d (first design)	0.00	$0

Table 6 — Sensitivity. At a 10% save rate no campaign pays; the dollar figures rest on an assumption that has never been measured.

Negative result. I first valued a saved customer at one 90-day window of margin. Every threshold then lost money and the optimum was "contact nobody" — the 15% discount is as large as one quarter's margin of a small customer. The assumption, not the model, was wrong: saving a lapser restores a relationship. It was replaced by a stated 365-day horizon, and both versions are kept in `train_final.json`. The deeper lesson, which drives §10.1, is that the threshold — not the model — decides who gets the offer, and one threshold treats a $50 customer and a $5,000 customer alike.

5.4 Data minimisation and the served model

Law 25 requires that only necessary information be collected. The rule was written before the test: a feature group whose removal costs less than 0.005 PR-AUC is not necessary. Each group was removed in turn on the same folds:

Group	Features	CV PR-AUC loss	Validation loss	Folds worse	Decision	Why audited
time of day	`weekend_share_180d`, `mean_order_hour_180d`	-0.0001	+0.0000	3/5	**remove**	When a person shops (weekend, hour) is behavioural profiling beyond what a re-order prediction needs.
region	`region`	-0.0001	-0.0002	3/5	**remove**	Needed for delivery; as a model input it is a proxy for geography.
cancellations	`cancel_lines_180d`, `cancel_rate_180d`	+0.0001	+0.0001	4/5	**remove**	Dissatisfaction signal.
category mix	`share_seasonal`, `share_kitchen`, `share_home_decor`, `share_bags_wrap`, `share_lighting`, `category_entropy_180d`	-0.0002	+0.0001	2/5	**remove**	What kind of products a person buys.
basket shape	`lines_per_order_180d`, `units_per_line_180d`, `distinct_skus_180d`, `sku_repeat_rate_180d`	+0.0000	-0.0002	3/5	**remove**	Size and breadth of orders.
outlier lines	`outlier_line_share_180d`	+0.0000	-0.0003	4/5	**remove**	Bulk-buying flag.
lifetime value	`revenue_lifetime`, `orders_lifetime`	+0.0008	+0.0016	4/5	**remove**	Long-run value; grows with observable history (monitoring finding, D4).

Table 7 — Minimisation ablation (loss = full minus reduced PR-AUC).

No group was necessary; removing all 18 together cost 0.7809 → 0.7802 in CV. The served model `0.9.5+xgboost` reads **19 features** (`recency_days`, `tenure_days`, `tenure_censored`, `orders_30d`, `orders_90d`, `orders_180d`, `active_months_180d`, `revenue_30d`, `revenue_90d`, `revenue_180d`, `aov_180d`, `max_order_value_180d`, `mean_unit_price_180d`, `mean_gap_days`, `std_gap_days`, `overdue_ratio`, `orders_trend`, `revenue_trend`, `season_q`); the other fields are no longer stored by the API. Because the promotion gate required beating the champion, I added a minimisation clause (strictly fewer features, loss ≤ 0.005) and every gate passed:

Gate	Result
beats best baseline by 0.05 pr auc	pass
calibrated brier not worse than raw	pass
ece at most 0.05	pass
beats champion by 0.005 pr auc or minimises	pass
fairness gap within limit or not worse	pass

Table 8 — Promotion gates for the served model (`docs/MLFLOW_PROMOTION_POLICY.md`).

5.5 Held-out test results

Test snapshot 2011-09-01: 2,768 customers, base rate 60.7%. The test set has been scored **3 times**, each after every choice was fixed: look 1 before the R2 duplicate fix (0.8504), look 2 after the re-run (identical), look 3 for the minimised model. No decision in this report used test data.

	PR-AUC	95% CI (bootstrap)	ROC-AUC	Brier	Recall@top10%
Model (XGBoost, calibrated)	0.8472	0.832–0.863	0.7675	0.1916	0.161
Baseline: Dummy (prior)	0.6069	0.586–0.625	0.5000	0.2565	0.126
Baseline: rule 'ordered in last 60 days'	0.6734	0.649–0.695	0.6187	0.2439	0.151
Heuristic: recency deciles	0.7123	0.687–0.734	0.6563	0.2416	0.132

Table 9 — Test metrics with 95% bootstrap intervals.

The model beats the best heuristic by **+0.1350 PR-AUC** with non-overlapping intervals. PR-AUC of the lapse class, the class the campaign acts on, is 0.6438.

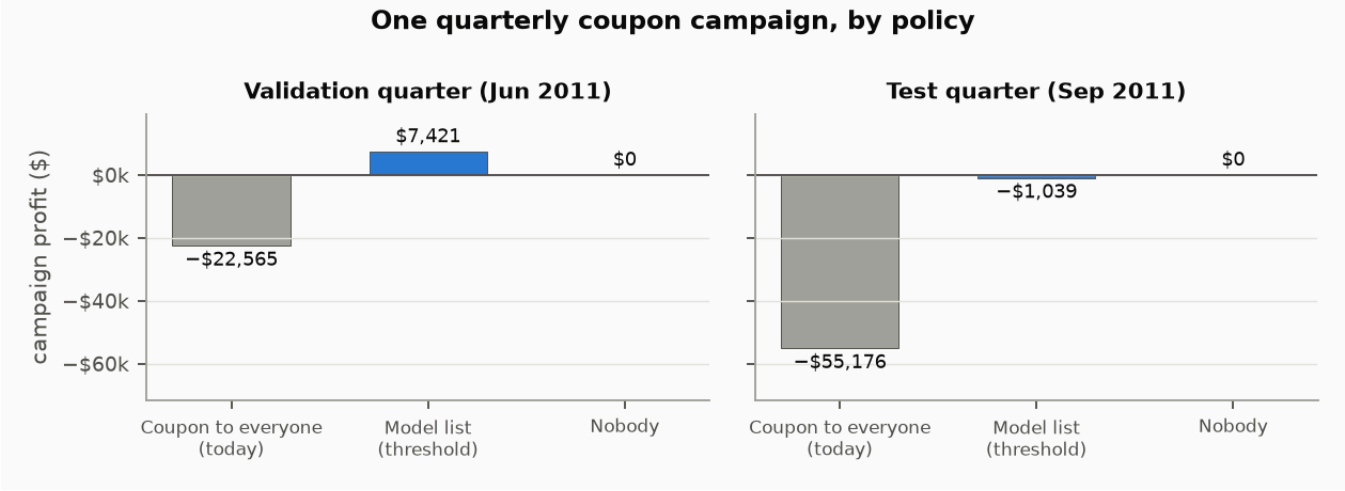


Figure 3 — One quarterly campaign by policy on the two held-out quarters.

On the test quarter the validation threshold contacts 1,212 customers and roughly breaks even (−$1,039), against −$55,176 for coupon-to-everyone: **$54,137 better than the status quo per quarter** (validation quarter: $29,986). Annualised over four campaigns that is **$120k–$217k a year**, under the stated assumptions. It does **not** beat "contact nobody" on the test quarter: with a 60.7% base rate few customers are worth a coupon. The per-customer expected-value policy stays positive ($2,150) because it adapts to each probability — but it reaches far fewer lapsers (§10.1).

5.6 Where the model fails, and why it decides what it decides

Segment	n	Return rate	PR-AUC	Lapser recall	Selection rate	Recall gap vs overall
region: ON	228	69.3%	0.864	0.600	36.8%	-8.2 pts
region: QC	2,500	60.2%	0.847	0.690	44.5%	+0.8 pts
tenure band: 6-12 months	445	62.5%	0.845	0.695	46.1%	+1.3 pts
tenure band: <6 months	686	46.4%	0.696	0.851	71.1%	+16.9 pts
tenure band: >12 months	1,637	66.2%	0.880	0.566	31.7%	-11.6 pts
spend quartile: Q1 (low)	763	40.6%	0.520	0.943	91.1%	+26.1 pts
spend quartile: Q2	702	53.1%	0.682	0.690	55.0%	+0.8 pts
spend quartile: Q3	650	66.8%	0.846	0.343	16.5%	-33.9 pts
spend quartile: Q4 (high)	653	86.2%	0.961	0.156	3.7%	-52.6 pts
frequency band: 1 order	1,280	44.0%	0.594	0.877	80.2%	+19.5 pts
frequency band: 2-3 orders	897	65.8%	0.803	0.358	19.8%	-32.4 pts
frequency band: 4+ orders	591	89.2%	0.970	0.047	1.2%	-63.5 pts

Table 10 — Test performance by segment (n ≥ 50).

Ranking collapses for **one-order customers** (PR-AUC 0.594, n = 1,280) and the lowest spend quartile (0.520): with one purchase there is no cadence to learn from. The decision fails differently: lapser recall is 0.943 in the lowest spend quartile but **0.156 in the highest** (§10.1).

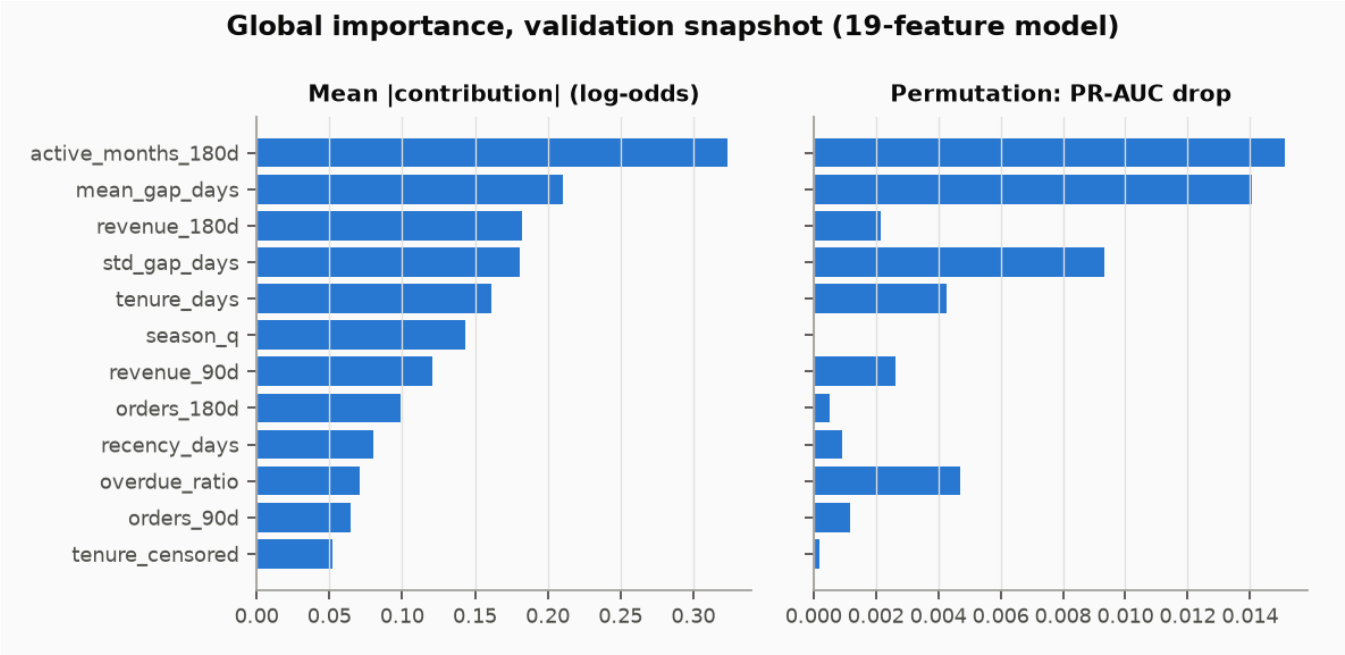


Figure 4 — Global importance on validation: mean |TreeSHAP| and permutation drop.

The first factor is `active_months_180d` (months with an order out of the last six) for 50% of customers. Permutation drops are small everywhere (≤ 0.015) because cadence and frequency features are correlated: importance is shared by a cluster of habits. Each prediction can return its exact factors (`POST /predict?explain=3`): XGBoost contributions in log-odds, scaled by the Platt slope so they add up to the calibrated probability (error 4.2e-06). Directions agree with domain expectations for 6/6 audited features, and the top-3 set is stable under ±5% input noise for 70% of customers. The factors are shown to the reviewer always and to a customer only on request, with the sentence "this describes how the model weighed your order history, not why you order".

6. Head B — basket recommendations

32,126 invoices × 4,466 items at density 0.54%: a sparse matrix takes 3.8 MB instead of 136.8 MB. Rules were preferred over collaborative filtering because the question is basket-conditional, 22.6% of lines are guests with no history, and every suggestion must say *why*. Parameters were swept on a slice inside the mining period; the chosen point (support 0.005, i.e. ≥ 161 invoices, confidence 0.2, lift ≥ 3) gives **7,512 rules**. An honest surprise: in mlxtend, FP-Growth is 116× *slower* than Apriori at this size (pure-Python recursion vs vectorised NumPy); FP-Growth stays the production miner because it is offline and identical itemsets are asserted in code.

The lift trap, from this data. 22294 HEART FILIGREE DOVE SMALL → 85123A WHITE HANGING HEART T-LIGHT HOLDER has confidence 44.7% but lift 2.998: the consequent is the best-seller, in 14.9% of all baskets, so the rule only says "people who buy anything buy the best-seller". The lift floor removes it.

Strategy (temporal holdout, 6,897 baskets)	Hit-rate@5	Basket coverage
Rules + popularity fill (served)	**0.145**	91.7%
Global popularity baseline	0.017	100%

Table 11 — 8.6× the baseline (course "excellent": ≥ 2.5× with coverage > 40%).

At serving time rules are indexed by antecedent item; the response names the rule that fired, and an unmatched basket returns `popularity_fallback` with the unknown items listed, so the interface never presents a best-seller as a

personal suggestion. Example: [22916, 22918] → 22917 HERB MARKER ROSEMARY (rule, lift 147); 22920 HERB MARKER BASIL (rule, lift 140); 22919 HERB MARKER MINT (rule, lift 140).

7. Head C — grounded bilingual assistant

Retrieval-augmented generation was chosen over fine-tuning because policies change and every answer must cite a source. 6 documents (4,995 words, EN + FR) are chunked into 66 chunks and embedded with a multilingual model, so a French question retrieves an English chunk. The language model is the **interface, not the source of truth**: four typed tools — `policy_search`, `retention_score` and `recommendations` (which call this API's own endpoints) and `product_lookup` — return validated objects. Guardrails run around every provider: another customer's data is refused before any model runs; a policy answer below similarity 0.30 is handed to a human; an LLM answer mentioning a SKU or percentage absent from the tool output is replaced by the verified template.

Question set	Provider	Tool choice	Source cited	OOS refused	False refusals	Latency p50	Cost/query
golden (40)	rule	100.0%	95.0%	100.0%	0.0%	4 ms	$0.0000
golden (40)	ollama	97.5%	90.0%	100.0%	3.2%	1553 ms	$0.0000
golden	openai	not run: OPENAI_API_KEY not set					
paraphrase (20)	rule	35.0%	22.2%	80.0%	73.3%	0 ms	$0.0000
paraphrase (20)	ollama	95.0%	88.9%	100.0%	6.7%	1282 ms	$0.0000
paraphrase	openai	not run: OPENAI_API_KEY not set					

Table 12 — Assistant evaluation on a 40-question golden set written before the assistant and 20 paraphrases written after the rule provider.

The rule baseline scores 100% on the golden set and 35% on paraphrases: its keywords were written by someone who had read the golden questions. The local model (Ollama, llama3.1:8b) holds up at 97.5% / 95%. That gap is the measured case for a language model. The hosted provider is implemented but **not evaluated** (no API key; course §8.5 also forbids sending personal data to it). The live service runs the rule provider, because an 8B model needs a GPU instance ($384/month); the local model runs in the Compose stack.

8. Deployment and MLOps

8.1 Containers, CI and CD

The API image is multi-stage, pinned by digest, runs as non-root UID 10001, has a `HEALTHCHECK` on `/ready`, and installs a serving-only lock (`xgboost-cpu`, no training stack): **823 MB**, down from 1,437 MB at D3, while also carrying the assistant and its embedding model.

CI (`.github/workflows/ci.yml`) runs on every pull request: ruff, mypy `--strict`, 89 tests with a 70% coverage gate (currently 82%, including the API contract and a golden-prediction regression test), the data-quality suite, the assistant tool-choice evaluation, both image builds with their sizes, a container smoke test, and gitleaks over the full history. CD (`cd.yml`) runs on merge: GitHub OIDC → role `BorealGithubDeploy` (one-hour credentials, trust limited to this repository's immutable IDs and the `production` environment) → image tagged with the commit SHA → ECR → App Runner → `scripts/smoke_test.py`, which fails the run unless `/version` equals the merged commit and the golden prediction is reproduced. **No AWS key exists in GitHub.** The OIDC set-up failed twice, and each failure was debugged from CloudTrail evidence (the subject claim carries immutable IDs; a `PassRole` condition App Runner does not send).

8.2 Hosting decisions and their cost

The API runs on AWS App Runner (1 vCPU / 2 GB, 765.4MiB at idle). The interface could not follow: App Runner's proxy rejected Streamlit's WebSocket upgrade (a `403` from `envoy` that never reached the container), so it runs on Streamlit Community Cloud. **Region deviation:** App Runner is not offered in `ca-central-1`, so serving runs in `us-east-1`. That is acceptable for public, pseudonymised data; for real customers it would be a transfer outside Québec (Law 25 s. 17), and the same image would run on ECS Fargate in `ca-central-1` (~$30/month more, mostly the load balancer).

8.3 Monitoring and retraining

A Locust traffic simulation (adapted from the course lab) replays the held-out customers, then a deliberately shifted cohort (recent Maritimes sign-ups, short histories, unseen SKUs):

Check	After normal traffic	After shifted cohort	Measure
input drift	amber (0.000)	red (0.528)	share of features with PSI >= red
prediction drift	green (0.031)	red (2.250)	PSI of p_return
data quality	green (0.048)	red (0.996)	max(missing-rate change, /predict 422 rate)
error rate	green (0.000)	green (0.000)	share of 5xx responses
latency p95 predict	green (21.574)	green (21.839)	ms, server-side
rule fire rate	green (0.618)	green (0.531)	share of non-empty baskets answered by a rule

Table 13 — Traffic lights after each phase (`docs/MONITORING.md` states the thresholds).

Under the shifted cohort 53% of features cross PSI 0.25, 43% of basket items are unknown and the rule fire rate falls from 92% to 53%; each level change raised an alert (18 in total). **A correction found by monitoring:** with the pooled training data as the reference, healthy traffic was permanently red, because later snapshots have longer histories by construction; a monitor that is always red is ignored, so the reference is now the calibration snapshot. **Delayed ground truth:** the label exists 90 days after a prediction; a weekly backfill joins predictions to later orders, and until then drift and data quality are the leading indicators. The weekly retraining workflow re-runs the pipeline and the promotion gates (including fairness and minimisation) and **opens a pull request — it never deploys**; a human merges.

8.4 Managed training (SageMaker)

The Service Quotas request for `ml.m5.large` spot training in `ca-central-1` (case 179073448000753, opened 2026-09-29) was still open when this report was built, so **no managed job has run** and none is reported. All tuning used the local Optuna backend (40 trials per model, 1.6 min for XGBoost, $0). The SageMaker path is implemented and tested short of AWS: the script-mode entry point (`retention/sm_train.py`) reproduces the local CV score, the self-contained source directory runs with `python -I`, and `python scripts/run.py hpo --provider aws --dry-run` prints the job (Bayesian, 20 jobs, 2 parallel, managed spot, `max_run` 15 min, `max_wait` 30 min). When the quota is granted, the run writes `reports/metrics/cloud_hpo_evidence_aws.json` and this section is regenerated with its numbers.

When managed training would pay off. One local trial takes ~2 s (5 folds × 12k rows); a SageMaker job spends ~3 minutes starting its container. Managed training wins when trials take tens of minutes (≈ 100× the data, or deep models), need more memory than a laptop, must run unattended, or the data may not leave the cloud account. None applied here.

9. Optimisation

9.1 Latency

Endpoint	First call before / after	Warm p50 / p95 before	Warm p50 / p95 after	Server p50	p50 change
`/predict`	17.8 / 9.3	7.8 / 9.9	4.8 / 7.6	6.9 → 3.9	39%
`/predict/batch (100)`	18.8 / 12.5	13.7 / 16.0	9.2 / 11.4	11.2 → 7.5	33%
`/products`	11.2 / 4.3	10.2 / 12.6	2.4 / 3.1	9.4 → 1.8	77%
`/recommend`	4.5 / 3.6	1.2 / 1.7	1.2 / 1.6	0.7 → 0.7	1%
`/chat policy (rule)`	11.6 / 9.0	6.5 / 7.9	6.7 / 7.4	—	-2%
`/chat retention tool (rule)`	16.9 / 13.4	11.6 / 15.4	7.6 / 10.9	—	34%
`/monitoring/report`	51.1 / 53.0	115 / 121	0.9 / 1.1	114 → 0.3	99%

Table 14 — Latency by endpoint, ms, before (v0.9) and after the D5 changes, same machine.

Each change followed a measurement: building the one-row model input column-wise instead of through pandas (7.8 → 4.8 ms p50 for `/predict`), folding catalogue accents once at start-up, caching the monitoring report for 10 s (115 → 0.9 ms), and a warm-up before `/ready` turns 200. **Cold start was not improved** (5.8 s for the container): most of it is Python importing scientific libraries. On App Runner the network round trip (`/health` alone 30.3 ms) dominates every handler; the real latency lever for users is region, not code.

9.2 Scalability

One worker saturates at ~222 predictions/s locally (~111/s assumed on an App Runner vCPU); batch scoring reaches 10,200 rows/s. The first hard limit is the per-instance SQLite prediction log (one writer, lost on redeploy); Postgres is already in the Compose stack. Rules scale linearly (480,768 rules → 46 ms p95), retrieval is brute force and free at 66 chunks (89 ms at a million), and the monitoring report grows with its window (1208 ms at 50,000 predictions) until it is pre-aggregated.

9.3 Cost

Service	Spend (USD)
AWS App Runner	$2.61
Tax	$0.40
Amazon EC2 Container Registry (ECR)	$0.04

Table 15 — Total AWS spend $3.05 (2026-09-01 to 2026-11-01, Cost Explorer). A $10 budget alarm has been active since Week 1.

The service costs $10.22/month while provisioned and idle and is paused between grading windows. At realistic volumes the fixed memory charge dominates: about $0.000195 of compute per 1,000 predictions at full load. Assistant queries cost $0.23 per 1,000 on a dedicated GPU (local model, the only one allowed to see personal data) or an unverified $0.19 with the hosted provider.

10. Responsible AI and Law 25

10.1 Fairness: the gap I found and what I recommend

Lapser recall — the share of customers who did lapse who were proposed for the offer — is 89% overall but **46% in the top spend quartile** (validation; flagged groups: `tenure_band=>12m`, `spend_quartile=Q3`, `spend_quartile=Q4 (top)`). 58 top-spend lapsers were not proposed, worth $74,672 of margin. The model is not wrong about them (its PR-AUC there is among the highest); the **single threshold** is: high spenders rarely lapse, so their probabilities are high and

one value-blind cut-off reaches few of those who do. Removing 18 features neither caused nor fixed the gap (v0.9 gap 52 points).

Policy	PR-AUC (val)	Coupons val / test	Lapser recall	Top-quartile recall	Worst gap	Campaign profit val / test
M0 single threshold	0.805	1,814 / 1,212	0.89 / 0.68	0.46 / 0.16	0.43 / 0.53	$7,695 / −$1,039
M1 expected value	0.805	1,174 / 193	0.59 / 0.10	0.35 / 0.12	0.24 / 0.10	$13,038 / $2,150
M2 group thresholds	0.805	2,182 / 1,662	0.96 / 0.80	0.89 / 0.82	0.07 / 0.14	−$526 / −$17,960
M3 reweighted	0.805	1,848 / 953	0.89 / 0.55	0.66 / 0.27	0.23 / 0.28	$6,763 / −$1,778

Table 16 — Four policies, chosen on validation and scored once on test.

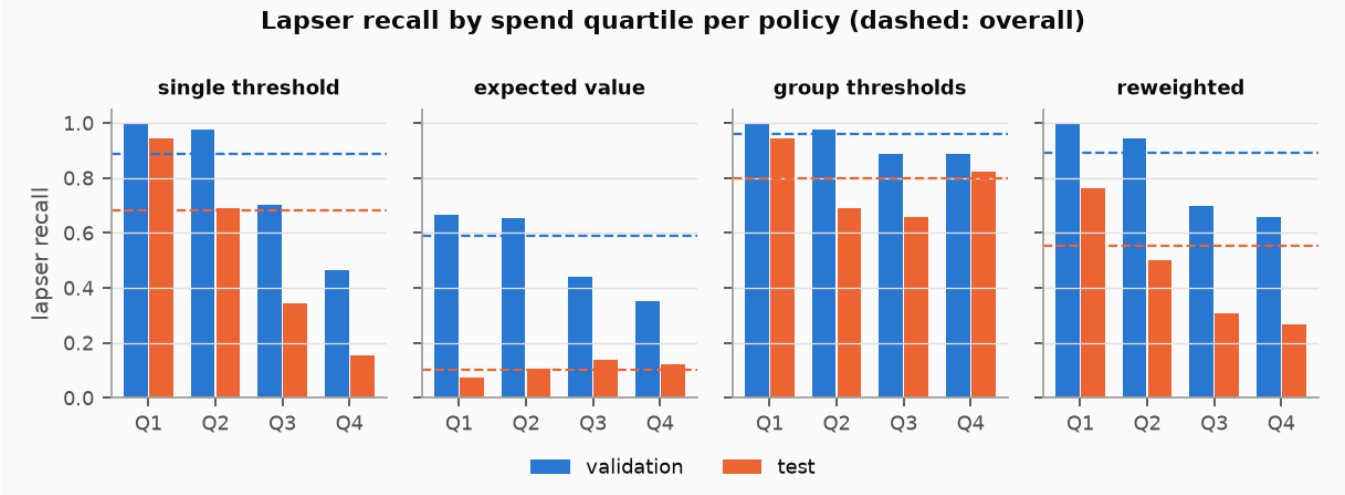


Figure 5 — Lapser recall by spend quartile under each policy.

No mitigation dominates: expected value (M1) is most profitable but abandons most lapsers; group thresholds (M2) close the gap but send 20% more coupons to high spenders who would have returned and set different treatment by spend; re-weighting (M3) halves the gap but the gain shrinks on test. **Recommendation:** keep the single threshold for the automatic proposal; add the customers M2 would add as a separate **high-value review list** for the marketing reviewer, who already approves every list; and run a **randomised 10% hold-out** for two quarters to measure the save rate per quartile — the unknown on which every dollar figure and every mitigation depends. Neither the review list nor the hold-out is built yet (§13).

10.2 Law 25 governance

`GOVERNANCE_LOI25.md` holds the register of automated decisions (D-A coupon targeting, D-B recommendations, D-C assistant answers and hand-off), the customer notice in French and English (shown in the interface), the data-minimisation audit (§5.4), and the retention schedule (raw transactions 2 years, prediction log 13 months then aggregated, last 5 model versions; deletion requests honoured within 30 days). **Design consequence of s. 12.1:** a decision based exclusively on automated processing must be disclosed with its principal factors and be reviewable by a staff member. The API therefore returns a *proposal* and a person approves every campaign list, so the decision is not exclusively automated, and the factors are available for each customer. The CAI's published guidance was read on 2026-11-01; `MODEL_CARD.md` and `DATA_CARD.md` record intended and out-of-scope uses, subgroup results and known failure modes.

11. What changed since the earlier submissions

Earlier document	What it said	What is true now, and where
D2 architecture	design figure with Head C, monitoring and interface "not yet built"	all built and deployed: Fig. 1 replaces it (§3)
D3 §7–8	threshold 0.56 from an earlier run; test policy figures for that run	the served artifact's threshold is reported; with the 19-feature model it is 0.61, and every policy figure here uses it (§5.3, §5.5)
D3 §8	37-feature model, test PR-AUC 0.850	19-feature model 0.847 [0.832, 0.863], third test look disclosed (§5.4–5.5)
D3 §11	SageMaker as a "control point" with planned numbers	status stated plainly; no managed-run number is claimed (§8.4)
D3 §14	Head C not built; image 2.2 GB	Head C built and evaluated (§7); image 823 MB (§8.1)
D4 §1	live URLs, CD run and video PENDING	live and checked 2026-11-01 (§1)
D4 §7	`/predict` p95 ~50 ms through Docker	traced to Docker Desktop's port proxy on Windows; 4.8 ms warm p50 locally, network-bound live (§9.1)
D4 §7	drift reference = pooled training data	calibration snapshot; always-red monitor corrected (§8.3)
D2/D3	Law 25 articles "to be verified"	CAI guidance read and cited; design checked against it (§10.2)
D3 §9, D4 §5	spend-quartile recall gap noted	audited, four mitigations scored, recommendation made (§10.1)

12. Limitations

- **Propensity, not uplift.** The model predicts who returns, not who returns *because of* the coupon. Every dollar figure rests on a save rate of 20% that has never been measured; at 10% no campaign pays.
- **One test quarter**, at a higher base rate than training; seasonality is seen once.
- **Public, re-skinned data.** Regions are a synthetic mapping, so regional fairness results describe the mapping; the catalogue is giftware bought largely by businesses.
- **Weak for new customers.** One-order customers are close to coin flips (§5.6).
- **Fairness gap open** in the top spend quartile; the recommended review list and hold-out are not built.
- **Operations.** The live prediction log is per-instance SQLite and lost on redeploy; the live assistant runs the rule provider (35% on paraphrases); the hosted LLM provider is unevaluated; serving runs outside Canada; cold start 5.8 s; the SageMaker job has not run (quota).
- **Legal check.** Article numbers in the governance file follow the CAI's guidance; the consolidated text on LégisQuébec refused automated reading and is checked by hand.

13. What I would do next

1. **Measure the coupon's effect**: a randomised 10% hold-out for two quarters, then an uplift model if the effect differs by customer. This is the single largest source of uncertainty.
2. **Build the high-value review list** in the interface and the backfilled subgroup audit, then decide between M0 and M1 on measured save rates.
3. **Move serving to** `ca-central-1` (ECS Fargate) and the prediction log to Postgres (RDS) before any real customer data.
4. **Run the SageMaker HPO job** as soon as the quota is granted, and report its cost and score against local Optuna.
5. **Onboarding rule for one-order customers** instead of a model that cannot rank them.

14. Reproducibility

```
git clone https://github.com/OlgaMorgunova/boreal-marche-capstone.git && cd boreal-marche-capstone
docker compose -f docker/compose.yml up --build -d    # API :8000/docs, UI :8501, Postgres, Ollama
python3 scripts/smoke_test.py --api http://127.0.0.1:8000 --ui http://127.0.0.1:8501
make setup-pinned && make all && make test            # every artifact from the raw data (~15 min)
python -m boreal_marche.reporting.build D6 D6-ES D6-DECK
```

Windows, step by step from an empty machine: `docs/RUN_FROM_ZERO_WINDOWS.md`. Every parameter (windows, cut-offs, costs, grids, seed 42) is in `params.yaml`; every run is tracked in MLflow with its git commit and data checksum. Repository tags: `v0.1`, `v0.2`, `v0.3`, `v0.9`, `v0.9.5`.

15. Sources and AI-tool use

Chen (2012), UCI Online Retail II, CC BY 4.0. Commission d'accès à l'information du Québec, "Vos droits" and "Principaux changements de la Loi 25" (read 2026-11-01); Act respecting the protection of personal information in the private sector, CQLR c. P-39.1. Huyen, *Designing Machine Learning Systems*; Lundberg & Lee (2017) for SHAP; Hardt et al. (2016) for equal opportunity. Documentation of scikit-learn, XGBoost, Optuna, MLflow, mlxtend, FastAPI, AWS App Runner, ECR and GitHub OIDC. Course Locust lab (instructor material).

AI-assisted coding and drafting tools were used for code, tests, the policy corpus and the text of every deliverable; I reviewed each module and can explain every line. **Where AI-generated output had to be corrected**, each found by a test or a measurement: the 90-day value horizon (§5.3); the duplicate key including descriptions (§4); `mean_gap_days` computed between invoices rather than order days (`overdue_ratio` reached 253,881); the pooled drift reference (§8.3); a test that hid the SKU guardrail by stripping spaces from streamed tokens; a Docker clean-up step that deleted `numpy/_core/tests` and crashed the container; `season_q` presented as a reason in explanations; a parallel loader presented as a cold-start fix until measurement showed no gain; and a promotion check that compared against the registry alias instead of the served artifact.